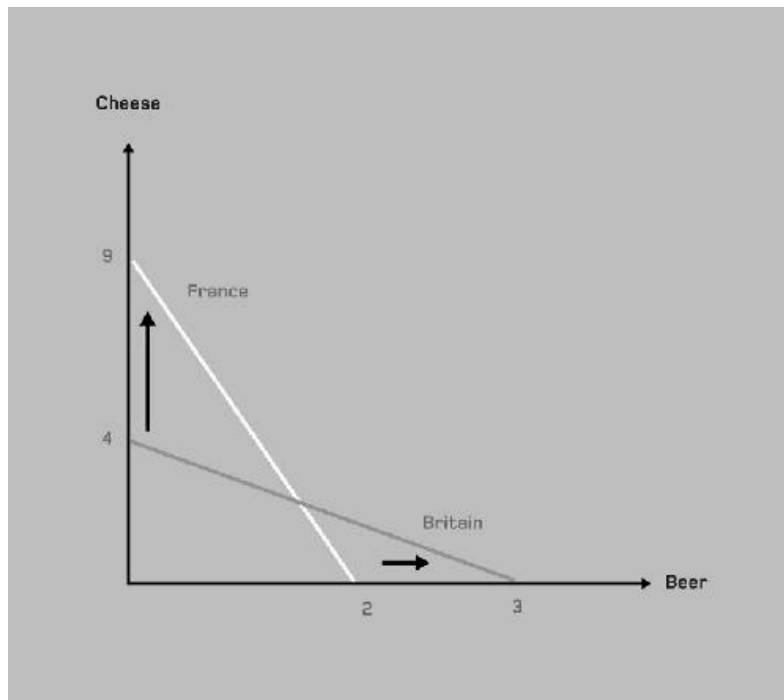


Comparative advantage



Britain has a comparative advantage in beer, France in cheese.

Suppose that France is better at making cheese, England at beer. If France specializes in cheese and England in beer and the two countries trade, then both gain: the French get cheaper beer, the English cheaper cheese. The theory of comparative advantage shows that even if England was worse at both goods, there are still gains from specialization and trade. Suppose that to make an extra keg of beer, England has to give up two wheels of cheese output, while France would have to give up three wheels of cheese to make an extra keg. England has a comparative advantage in beer production because the 'cost' of extra beer in terms of cheese is less than for France. This can be the case even if in absolute terms France is better at making both goods. Both countries can still gain if England specializes in beer and France in cheese. What determines countries' comparative advantage? The availability of capital and labour in a country is one factor,

although how countries build up comparative advantage in the longer term is a more complex story.